

Classical Liberalism



Effects



Modern Liberalism

- involves no government intervention in the economy (hands-off)
- proposes that the only function of government is to protect individuals' natural rights to life, liberty, and property
- emphasizes economic liberalism and promotes the freedom of risk takers, such as business owners

- allowed people the freedom to innovate and increase production
- contributed to the development of great wealth for some
- contributed to the wealth gap between people who were rich and those who were poor
- contributed to the development of ideologies that opposed capitalism, such as communism and fascism, and led to the development of a new (modern) liberalism
- contributed to the Depression of the 1930s

- involves significant government intervention at times (hands-on)
- proposes that people's rights should be included as a part of the political and economic systems in a society, including that all individuals should be valued equally
- proposes the development of government programs to help disadvantaged individuals and eliminate the causes of poverty, crime, and abuse
- promotes sharing the benefits of economic development and having

MANY IN COMMAND

